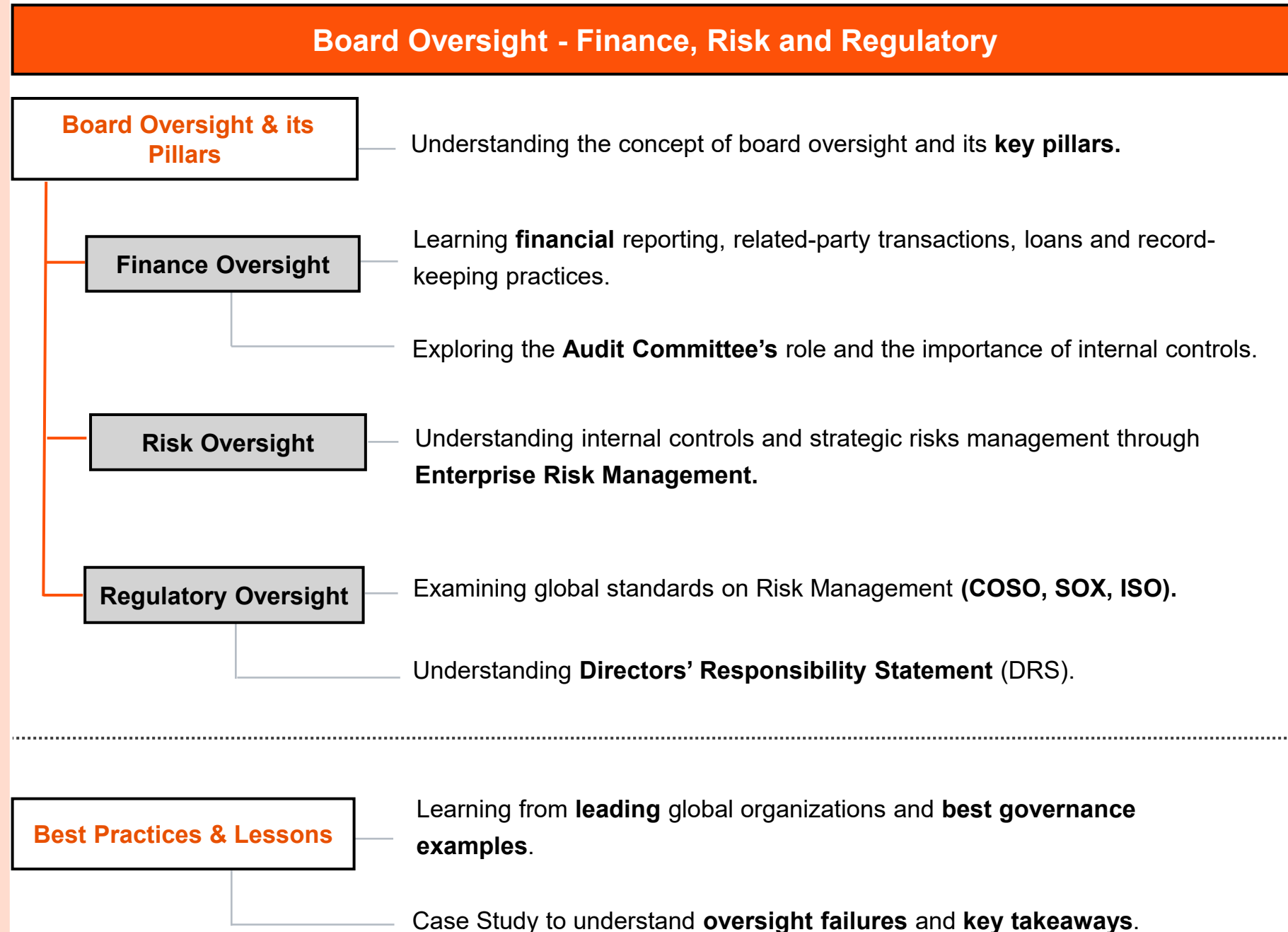


The background of the slide features a blurred financial spreadsheet with various numerical data points. In the bottom right corner, a portion of a white calculator is visible, showing buttons for 'C', 'ON', 'CE', '+/-', and 'M'. In the bottom left corner, a silver pen lies diagonally across a bar chart. The bar chart has several bars of varying heights, with some labeled with numbers like 9, 10, 11, and 12. The overall image has a blue-tinted, professional aesthetic.

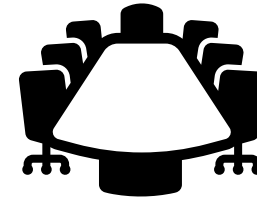
Board Oversight - Finance, Risk and Regulatory

What will we learn today?



Decoding Board Oversight

1



What's the first thing
that comes to your mind
when you think of

**Board
Oversight?**

Board Oversight – The Cornerstone of Effective Board Governance



Board oversight is a key element of **board governance**, reflecting the board's **responsibility** to **guide, monitor** and **supervise** management and operations to ensure the company **acts ethically**, complies with laws and regulations and serves the best **interests of its stakeholders**.

Importance of Board Oversight



Oversight keeps management answerable and the organization credible.

Oversight helps prevent crises before they escalate.

Oversight connects governance to performance.

A vigilant board enhances organizational reputation and investor faith.

Oversight protects — legally, ethically and reputationally.



Finance Oversight

Ensuring Financial Integrity

- **Monitors** financial performance, capital allocation and resource utilization.
- **Upholds** accuracy, transparency and reliability in financial statements.
- **Strengthens** investor confidence and long-term value creation.



Risk Oversight

Safeguarding Organizational Resilience

- **Identifies, assesses and mitigates** strategic, operational and compliance risks.
- **Defines** risk appetite and tolerance aligned with corporate objectives.
- **Enables** proactive decision-making and crisis preparedness.



Regulatory Oversight

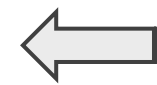
Upholding Accountability & Compliance

- **Ensures** adherence to laws, regulations and ethical standards.
- **Prevents** governance lapses and Corporate & Directors' / KMPs' liabilities.
- **Promotes** fairness, transparency, and stakeholder trust.



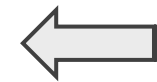
Identify the correct oversight pillar (Finance/Risk/ Regulatory)

A) Ensuring accuracy and transparency in financial statements



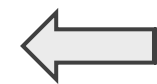
Finance

B) Defining risk appetite and tolerance



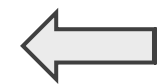
Risk

C) Preventing governance lapses and director's liabilities



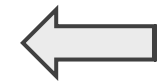
Regulatory

D) Enabling crisis preparedness and proactive decision-making



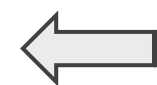
Risk

E) Monitoring capital allocation and resource utilization



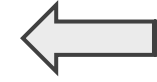
Finance

F) Ensuring adherence to laws and regulations



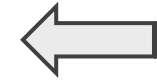
Regulatory

G) Strengthening investor confidence



Finance

H) Identifying and mitigating operational risks



Risk

Finance Oversight

*Financial Reporting, Audit Committee, RPTs, Loans
& Record-Keeping*

2

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Financial Disclosures

Financial Disclosures – Strengthening confidence and compliance

What it means?

- These are the information a company shares publicly about **its financial performance, position** and **operations** through reports and statements.
- **Ensures** transparency and accountability, helping investors, regulators and the public is able to make informed decisions.

Why it matters?

- **Builds** trust and transparency with stakeholders.
- **Strengthens** accountability, ethical conduct and regulatory compliance.
- **Enhances** corporate reputation, credibility and fair market valuation.
- **Helps** identify early financial risks and reinforces good governance.

What Should Board Know?

- **Ensure** accuracy and integrity of financial statements.
- **Confirm** compliance with laws, standards and internal controls
- **Oversee** audit processes and **review** key disclosures.
- **Promote** timely, transparent reporting and ethical financial culture.
- **Track** audit findings, corrective actions and evolving disclosure requirements.

Globally Recognized Key Financial Disclosures

<i>Annual Financial Statements</i>	Provide a comprehensive overview of the company's financial position, performance and cash flows in line with global accounting standards (IFRS/US GAAP).
<i>Financial Results</i>	Offer quarterly or periodic updates on revenues, profits and key performance metrics to inform regulators, investors and public at large
<i>Auditor's Report</i>	Present the independent auditor's opinion on the fairness and accuracy of financial statements, ensuring credibility and transparency.
<i>Management Discussion and Analysis Report</i>	Explain management's perspective on financial performance, strategic priorities and future outlook.
<i>Corporate Governance Report / statement</i>	Disclose governance framework, board composition and compliance with global governance principles (OECD/UK Code).
<i>Related Party Disclosures</i>	Highlight transactions with promoters, subsidiaries or affiliates to ensure transparency and prevent conflicts of interest.
<i>Internal Controls Disclosure</i>	Outline systems and processes ensuring accuracy of financial reporting and prevention of fraud or misstatement.
<i>Shareholding Pattern</i>	Disclose ownership structure, including promoter and public shareholdings to enhance investor confidence and accountability.
<i>Material Event Disclosures</i>	Report significant corporate developments or risks that could impact stakeholders' decisions as per global listing norms.
<i>Sustainability Reporting</i>	Provide environmental, social and governance performance aligned with frameworks like GRI, SASB or TCFD.
<i>Risk & Concerns</i>	Identify key operational, financial and market risks with mitigation strategies to help investors assess exposure.

Key Drivers of Financial Statements

Robust Internal Controls

- **Delegation of Authority** : Clear approval limits for financial disclosures
 - **Authorization Protocols**: Defined workflows and periodic audits
-

Use of Reliable Accounting Software

- **AI & Automation**: Use software supporting multi-currency, multi-entity and multi-jurisdiction operations.
 - **Integration**: Link with ERP, payroll, etc. for smooth data flow.
-

Global Coordination and Central Oversight

- **Centralized Policies**: Uniform accounting standards across the group
- **Local Adaptation**: Customize for jurisdictional requirements. while maintaining overall group standards.



Training and Capacity Building

- **Staff Training**: Regular updates on systems and regulatory changes
 - **Professional Development and Code of Conduct**: Encourage staff to obtain relevant certifications to enhance expertise.
-

Timely and Accurate Recording

- **Real-Time Entry**: Record transactions promptly.
 - **Reconciliations**: Match balances and resolve discrepancies regularly.
 - **Digital Archiving**: For document management, ensuring easy retrieval and disaster recovery.
-

Continuous Improvement

- **Process Reviews**: Incorporate best practices and technological advancements.
- **Benchmarking**: Compare practices against industry peers and global standards.



Let's Assess your understanding

1) Which of the following is a key responsibility of the Board regarding **financial disclosures**?

A. Approve employee leave policies



B. Ensure accuracy & integrity of financial statements

C. Decide marketing strategy

D. Handle day-today accounting entries

2) **Books of accounts** primarily help the Company to:

A. Track employee performance

B. Draft Board Minutes

C. Prepare HR Policies



D. Record financial transactions systematically

3) Which of the following is a core driver for **financial statements**?

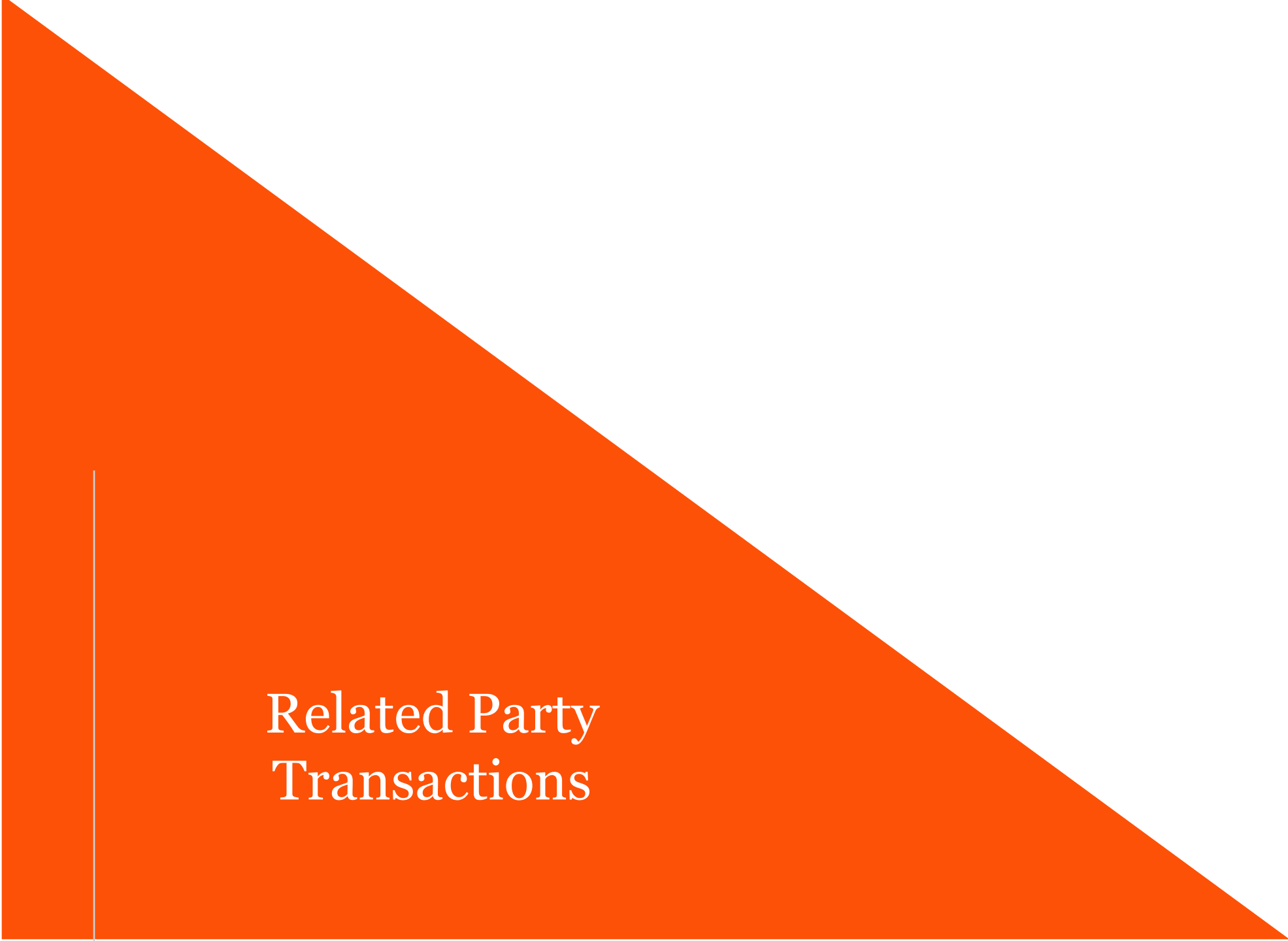
A. Social Media Visibility



B. Staff training & capacity building

C. Hiring more directors

D. Organizing Company's events

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Related Party
Transactions

Related Party Transactions

Concept

- Related Party Transactions (RPTs) are dealings between a **company** and **persons/entities** that have a **pre-existing relationship** with it.
- These relationships may influence - commercial judgment, pricing, fairness, or arm's-length behavior.

Who Are “Related Parties”?

- Promoters / Controlling shareholders
- Subsidiaries, associates, joint ventures
- Directors /Key managerial personnel (KMP) and their relatives
- Entities significantly influenced by board members/KMP

Across **US SEC, **Indian Companies Act**, **UK Listing Rules and Companies Act**, **IFRS**, definitions generally include these categories*



Ordinary Course of Business & Arms' Length Basis

- **Ordinary Course of Business** - Transactions that are routine, day-to-day and aligned with the company's **normal business activities**.
- **Arm's Length Basis** - A transaction conducted as if the parties were **unrelated**, with **fair pricing**, **independent judgment** and **no undue influence**. This ensures commercial terms mirror what any third party would agree to under similar circumstances.



Global Regulatory Framework

- **US** - SEC states that the financial statements shall include **disclosures** of material RPTs.
- **UK** - Significant RPTs need **shareholder approval**. Governance Code stress on **board independence** and **oversight** of RPTs.
- **India** - Companies Act and SEBI regulations require **board/shareholder approval**, **audit committee review**, and **stock exchange disclosure** for significant RPTs
- **IFRS** - It mandates **disclosure** of relationships, nature of transactions, amounts involved and outstanding balances.



Board's Role in RPT Governance

- **Ensure** RPTs occur at arm's length
- **Approve, monitor and review** material or non-routine transactions
- **Oversee** independent valuation & fairness opinions
- **Ensure** full disclosures in financial statements



Boardroom Decision

RPT Edition

Scenario 1 - The company rents an office floor from a property owned by the **Director's brother**. Is this Related Party Transaction ?

Yes. This is a **Related Party Transaction**. Because the **relative of a director** is a related party. However, further checks required such as arm's length basis.

Scenario 2 -The company sells its standard products to its regular **customers** every month. Is this an ordinary course of business?

Yes. This is an **ordinary course of business**. Because it is routine, day-to-day and part of normal business activity. Not necessarily an RPT unless the customer is a related party.

Scenario 3 -A company buys raw material from its **subsidiary** at the same price offered to independent vendors. Is this on arm's length basis?

Yes. This is **arm's length**. Because the pricing and terms are the same as those offered to unrelated third parties. It is still an RPT, but a fair one.

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Loan to Directors and Loans & Investments by Companies



General Prohibition

- Most jurisdictions **prohibit** companies from granting loans, security or guarantees to directors or connected persons.
- Aims to **prevent** conflicts of interest, and misuse of corporate funds.
- **Restrictions** often extend to holding company's Directors and related parties (e.g., family members, controlled entities).



Permitted Exceptions

- **Allowed** if approved by shareholders (or in some cases, the board) with full disclosure.
- Intragroup loans (to or from wholly-owned subsidiaries) may be **permitted** with proper approvals.
- Loans in the ordinary course of business or under a standard service contracts may be **allowed**.



Common Exemptions

- Parent–subsidiary transactions often **exempt** due to aligned interests.
- **Exemptions** for foreign subsidiaries or small-value/commercial loans in some jurisdictions.
- Banks and regulated institutions may **lend** to Directors as part of normal operations.



Penalties

- **Personal liability, fines** or **imprisonment** for unauthorized loans.
- Transaction may be **void** or **voidable** at company's discretion.
- Directors may be required to **repay** losses or face disqualification.
- **Reputational harm** to both company and individuals possible for non-compliance.

Loans & Investments by Companies | Regulatory Framework

While the specific thresholds, procedures, and exemptions may vary, all these jurisdictions incorporate the below mentioned principles into their regulation with respect to loans and investments by the Company.

Layering Restriction	Limits on Loans/Investments	Special Resolution	Disclosure
▪ Multiple tiers of holding or investment companies are discouraged, as excessive layering can be used to obscure the true movement and source of funds. ▪ Intra-group loans generally permitted but may require solvency checks and board oversight.	▪ No fixed universal caps — limits are based on solvency, commercial fairness and corporate purpose. ▪ Arm's-length terms, transfer-pricing rules and fiduciary duties restrict excessive or unfair loans. ▪ Regulated sectors (e.g., banks) have additional statutory caps.	▪ Required mainly for loans/guarantees to directors, key managerial personnel, major related parties, or share-purchase financial assistance. ▪ Shareholders' approval typically needs full disclosure of terms, purpose and beneficiaries.	▪ Loans/guarantees to related parties must be disclosed in financial statements and public filings for listed companies. ▪ Board minutes documenting solvency, fairness, and approval rationale are standard.

Note: Board's approval is a mandatory requirement for company loans and investments, with additional shareholders' approval for certain transactions in major jurisdictions.

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Audit Committee

Audit Committee

Guess the role!



What do you think this committee is responsible for ?

Audit Committee – Empowering Boards through Financial Oversight

Meaning of Audit Committee

The Audit Committee oversees financial reporting, internal controls, external audits and compliance to ensure accuracy, transparency and integrity in a company's financial disclosures.

1

Audit Committee – Importance

- **Protects Shareholder Interests** - Ensures transparent & reliable financial reporting
- **Risk Management** - Detects and mitigates financial and operational risks
- **Regulatory Compliance** - Meets legal requirements (e.g., SOX in the US, SEBI in India)
- **Investor Confidence** - Builds trust in governance and financial integrity

2

Audit Committee - Role to ensure transparent financial disclosure

- **Reviews** financial statements for accuracy
- **Monitors** internal financial controls
- **Oversees** independent external audits
- **Ensures** compliance with standards and laws
- **Addresses** risks of misstatements or fraud
- **Promotes** ethical financial practices

3

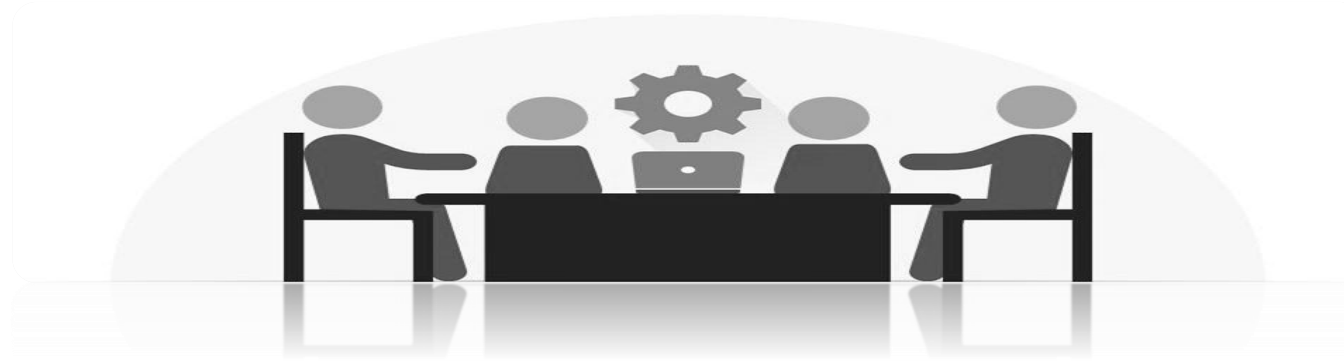
Audit Committee - Key Responsibilities

- **Oversight** of financial reporting process
- **Review** of quarterly/annual financials
- **Evaluation** of internal controls & risk systems
- **Recommending** appointment & independence of auditors
- **Approval/modification** of RPTs
- **Scrutiny** of inter-corporate loans/investments
- **Valuation** of undertakings/assets

Audit Committee | Legal Framework

	Legal Framework	Key Focus
 India	Companies Act, 2013 and SEBI's LODR Regulations outline the composition, roles, responsibilities and reporting standards.	Investigates matters within scope, requests information from management or auditors, reviews financials, controls, and risks.
 United Kingdom	The UK Corporate Governance Code outlines roles, responsibilities, and governance practices of the Audit Committee.	Oversight of risk, internal controls, financial reporting and audit effectiveness.
 European Union	Governed by the EU Audit Directive and Regulation (EU) No 537/2014.	Ensuring independence, quality, oversight of statutory audits, and harmonization across member states.
 Australia	Defined in the Audit Committee Guide by Auditing and Assurance Standards Board, Australian Institute of Company Directors and The Institute of Internal Auditors-Australia.	Financial reporting, risk management, internal controls, assessing the entity's fraud risk and action to mitigate fraud risk, and auditor oversight.
 United States	Governed by SEC and Public Company Accounting Oversight Board rules; Sarbanes-Oxley Act.	Oversight of financial reporting, internal controls, external audit and compliance.
 Canada	Governed by Financial Administration Act; joint guidance and tools by CPA Canada, CPAB, and ICD.	Oversight of external auditors, audit quality indicators (AQIs), and risk management.
 Singapore	Governed by the Companies Act, SGX Listing Rules, and the Guidebook for Audit Committees in Singapore.	Oversight of audit plan, internal accounting controls, internal audit procedures, auditor independence, and related-party transactions.

Commonly accepted Audit Committee Powers across Jurisdictions



Review and monitor auditor independence and audit process effectiveness;



Examination of financial statements and auditor reports;



Approval or modification of related party transactions;



Scrutiny of inter-corporate loans and investments;



Valuation of undertakings or assets when necessary;

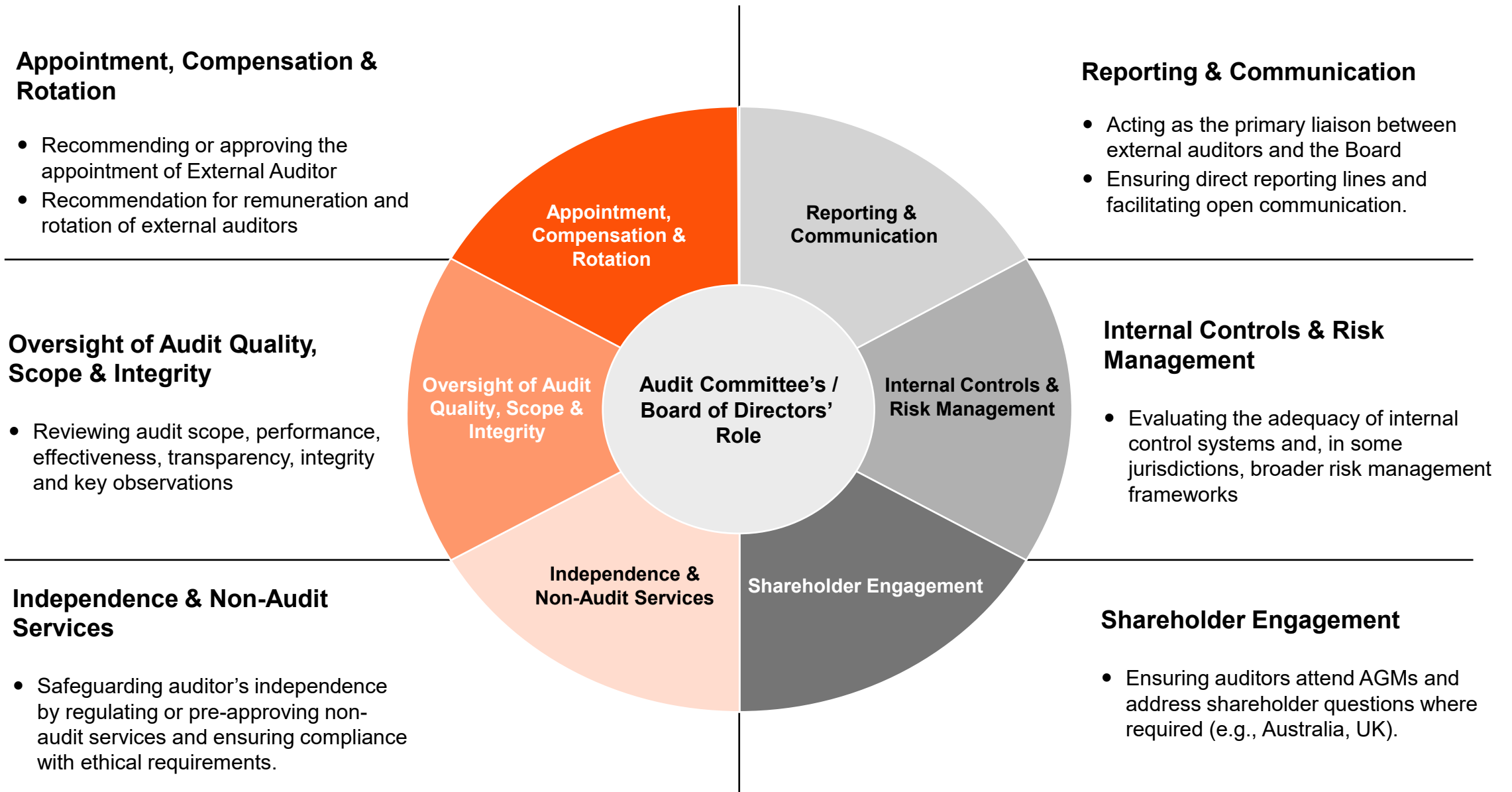


Evaluation of internal financial controls and risk management systems;



Monitoring end use of funds from public issues.

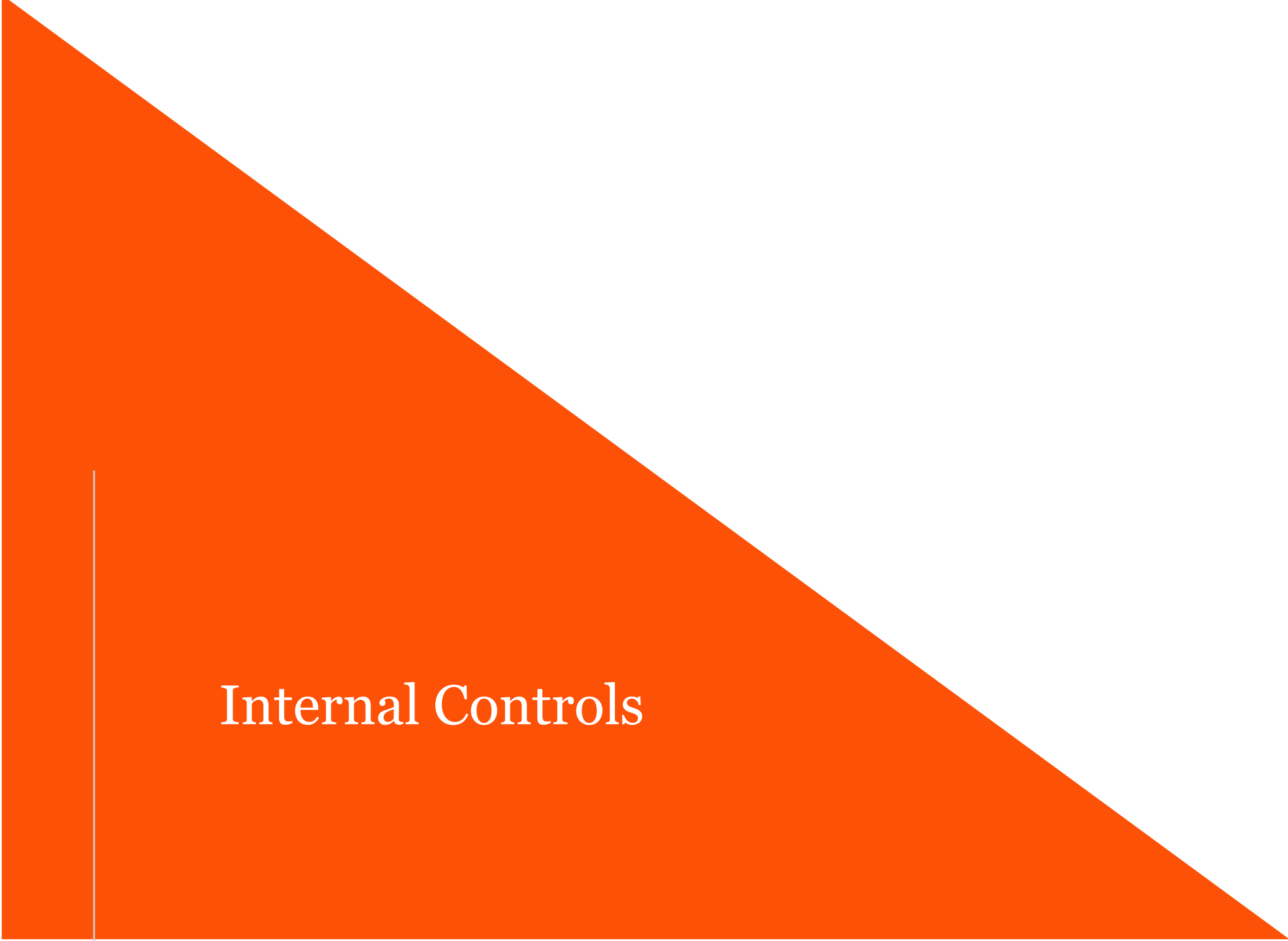
Role of Audit Committee towards Auditors



Risk Oversight

Internal Controls

3

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Internal Controls

Internal Controls | Meaning

Promotes Compliance

Ensures that all activities align with applicable **laws, regulations and internal policies**, reducing the risk of non-compliance and penalties.



Protects Resources

Safeguard the organization's **financial, physical and intellectual assets** from misuse, fraud or unauthorized access, preserving company value.

Builds Stakeholders' Trust

By ensuring **transparency, accountability** and **integrity** in operations and reporting, internal controls enhance investor and stakeholder confidence.

Internal controls refer to the **systems, policies and procedures** established by an organization to ensure that operations are conducted ethically, efficiently and in alignment with laws and organizational objectives.

Ensures Accurate Reporting

Strengthens the reliability of **financial and operational information**, enabling informed decision-making and transparent disclosures.

Internal Controls | Common Types

Operational Controls

- Ensure that day-to-day business activities run efficiently and as intended.
- Help prevent errors, delays and process-level breakdowns.

Examples : Implementation of Policies, SOPs, Delegation of approval matrix and segregation of duties in operations.

Compliance Controls

- Ensure adherence to laws, regulations and internal policies.
- Reduce regulatory risks and promote responsible corporate conduct.

Examples Developing compliance calendar, internal policy adherence, training programs and monitoring regulatory changes / updates.

Internal Financial Controls

- Safeguard company's assets and ensure accurate financial reporting.
- Prevent misstatements, fraud and financial irregularities.

Example : Reconciliation processes, financial audits and documented accounting procedures.

IT Controls

- Protect systems, data and technology infrastructure.
- Ensure secure access, reliable operations and prevention of cyber risks.

Examples : User access management, firewalls, data backup procedures, cybersecurity protocols and system monitoring tools.

Identify Missing “Control” *(Internal Financial/Operational/Compliance/IT)*

Internal Financial Control

A) Financial reports show frequent errors

Compliance Control

B) Staff unaware of new regulatory updates

Operational Control

C) Daily operations break down during peak load

Compliance Control

D) Employees are not following the company's code of conduct

IT Control

E) Multiple failed login attempts go unnoticed

Operational Control

F) Vendors are getting onboarded without proper approval checks

Internal Financial Controls

Internal Financial Controls are the checks and processes designed to ensure that the company's financial transactions are properly authorized, recorded and reported and that its assets are protected from misuse or loss.

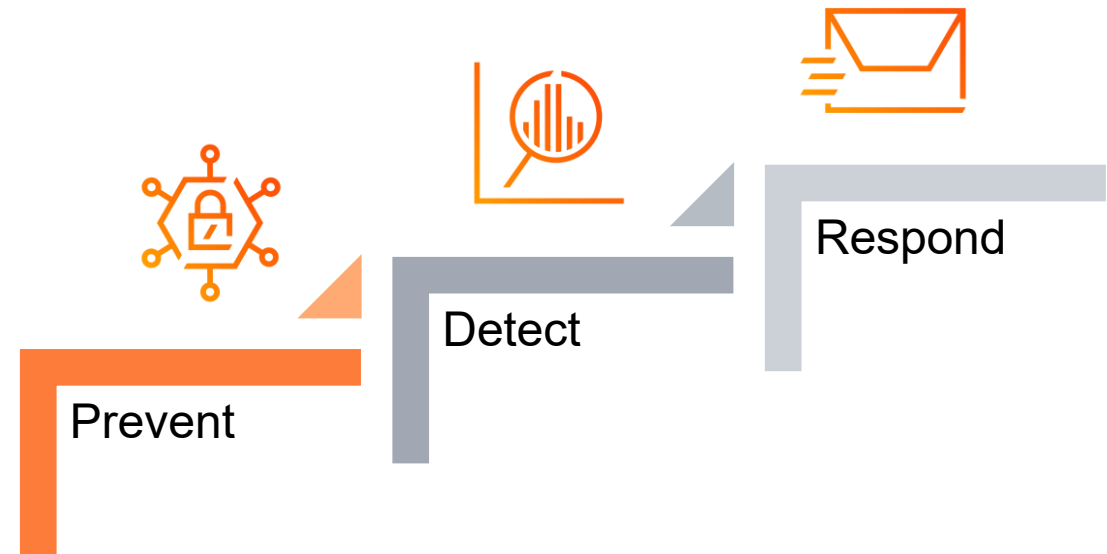
Key Objectives of IFC

Reliability of Financial Reporting	To ensure that all financial statements and records reflect true and fair financial performance and position of the company.
Compliance with Laws and Regulations	To ensure that all financial transactions and operations comply with applicable legal, regulatory and internal policy requirements.
Safeguarding of Assets	To prevent misuse, theft or unauthorized disposal of the company's assets.
Timely and Reliable Information	To enable management to make informed decisions based on timely, reliable and relevant financial data.
Accuracy of Accounting Records	To ensure that accounting records are complete, accurate, and maintained in accordance with prescribed standards.
Fraud Prevention and Detection	To identify, prevent and detect frauds, errors and irregularities in financial and operational activities.
Operational Efficiency	To promote efficiency, effectiveness and accountability in operations by establishing clear financial processes and authority levels.



An **effective approach** to managing fraud and misconduct risks involves implementing controls that serve three core purposes:

- **Prevent** fraud and unethical behavior before they occur.
- **Detect** any instances of fraud or misconduct when they arise.
- **Respond** promptly and take appropriate corrective measures whenever integrity issues are identified.



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Enterprise Risk Management

Enterprise Risk Management | Let's break it down

Risk - Meaning

In business, risk is the **possibility** that an event or decision may cause a deviation from the company's expected outcomes — it can lead to a loss or sometimes even an opportunity.

1

Types of Risk

1. Strategic
2. Financial
3. Operational
4. Compliance
5. Reputational

2

Risk Management- Meaning

Risk Management is the **process** of identifying, assessing and taking steps to minimize the impact of risks that could prevent an organization from achieving its goals.

3

Enterprise Risk Management - Meaning

ERM is a comprehensive, **systematic approach** that helps organisations identify, assess, prioritise and respond to risks proactively in order to meet its most critical objectives and related initiatives and day-to-day operations.

4

Enterprise Risk Management - Importance

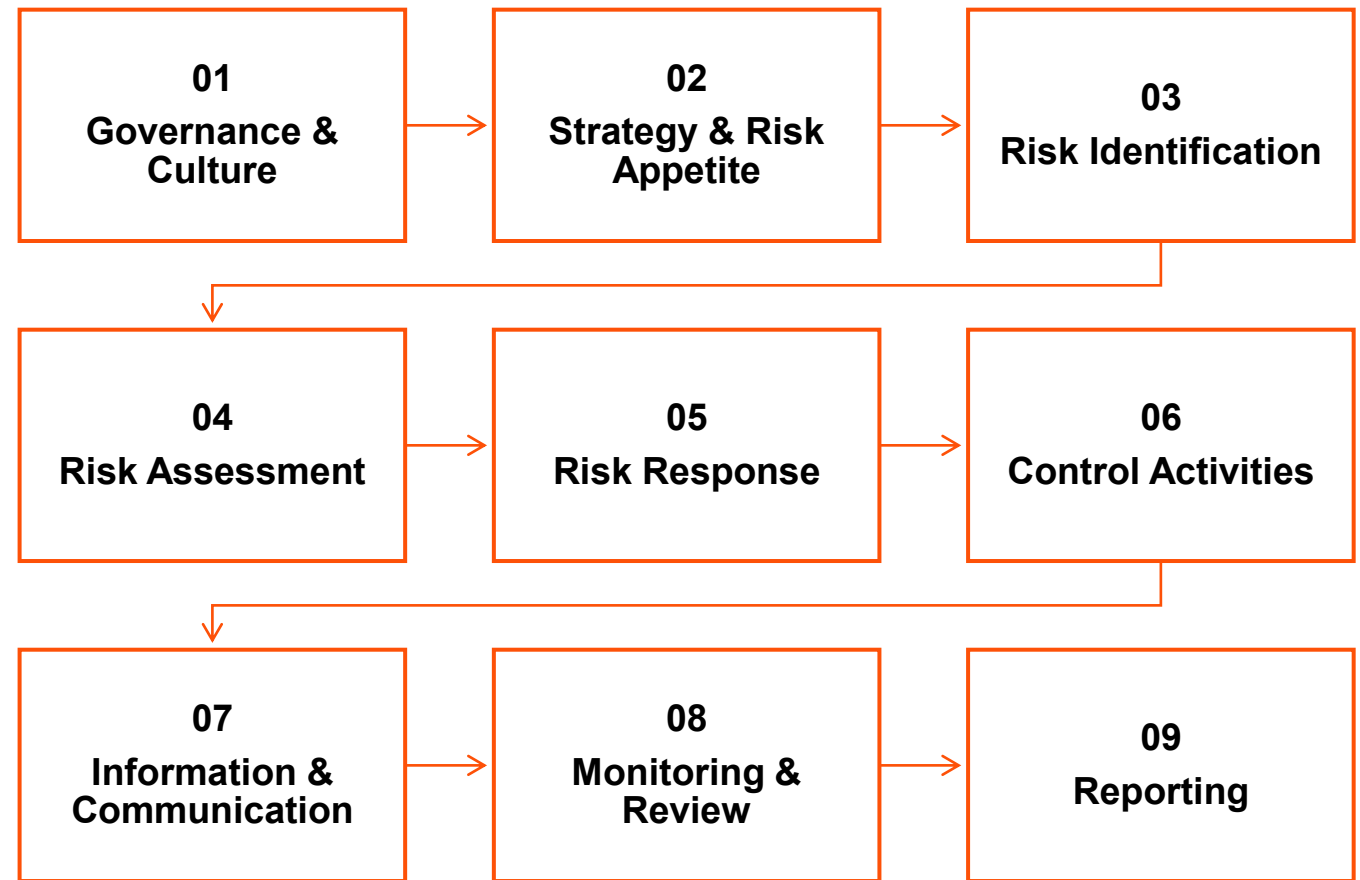
- It **protects** business by avoiding surprises through identification of all risks that may hinder achievement of objectives.
- It **allows** for informed decision making through greater understanding of risks helping in better allocation of organizational resource.

5

Strategic ERM Framework for Board & Leadership

An effective ERM framework is crucial for helping organizations proactively **identify, assess, manage, and monitor risks** that could impact their strategic objectives.

It serves as a structured, systematic approach to integrating risk management into an organization's culture and operations, moving beyond mere compliance to enable **better decision-making** and **enhance resilience**.



ERM | What does the organization achieve?

ERM helps organizations **preserve their existing value** — people, assets, reputation, and stakeholder trust — by managing risks that could harm them.

ERM = Value Protection + Value Creation



Value Protection

How ERM **Protects** Value:

- **Identifies** potential threats early
- **Implements** preventive controls to reduce losses or disruptions.
- **Strengthens** governance and accountability
- **Ensures** regulatory and legal compliance
- **Builds** stakeholder confidence

Illustrations

- A manufacturing firm adopts ERM to anticipate supply chain disruptions and avoid production halts.
- A pharmaceutical company ensures compliance with health regulations, protecting its brand reputation.

Value Creation

How ERM **Creates** Value:

- **Supports** strategic decision-making
- **Encourages** innovation
- **Improves** resource allocation
- **Enhances** business agility
- **Builds** investor and market trust

Illustrations :

- A tech company expands into new markets after assessing geopolitical and cybersecurity risks.
- An energy firm invests in renewable projects, knowing regulatory and market risks are under control.

Test your ERM IQ...

1. *ERM is only for large companies.*

Yes

No

2. *ERM improves both value protection and value creation.*

Yes

No

3. *Risk identification comes after monitoring.*

Yes

No

4. *Governance sets the tone for the entire ERM process.*

Yes

No

5. *Compliance risks are unrelated to reputational risks.*

Yes

No

Test your ERM IQ...

1. ERM is only for large companies.

ERM is applicable to organizations of all sizes i.e. small, medium, and large, because every organization faces risks.

Yes

No

2. ERM improves both value protection and value creation.

ERM prevents losses (value protection) and supports strategy, innovation, and agility (value creation).

Yes

No

3. Risk identification comes after monitoring.

Risk Identification is an early step. It comes before assessment, response, controls, monitoring & reporting.

Yes

No

4. Governance sets the tone for the entire ERM process.

Governance & Culture is the starting point and foundation of an effective ERM framework.

Yes

No

5. Compliance risks are unrelated to reputational risks.

Compliance failures very often lead to reputational damage, making the two highly connected.

Yes

No

 Correct Answer

Regulatory Oversight

Regulatory Framework

4

Regulatory Framework | Global

Let us understand the three key global frameworks that support effective governance, strengthened internal controls and risk oversight.

COSO Framework

- The Committee of Sponsoring Organizations of the Treadway Commission (COSO) developed the most widely recognized framework for **internal controls**.
- It is a voluntary framework that provides a comprehensive model for **designing, implementing** and **evaluating** internal controls.

SOX Act

The Sarbanes-Oxley Act of 2002 (SOX) is a US federal law that applies to the following companies:

- NYSE or NASDAQ Listed companies and their subsidiaries
- Foreign companies that are listed on U.S. stock exchanges or are required to **file** reports with the U.S. SEC.

Framework of Australia, Canada, France, Germany, India, Japan, Netherlands, South Africa and the UK mirror the objectives of SOX Act.

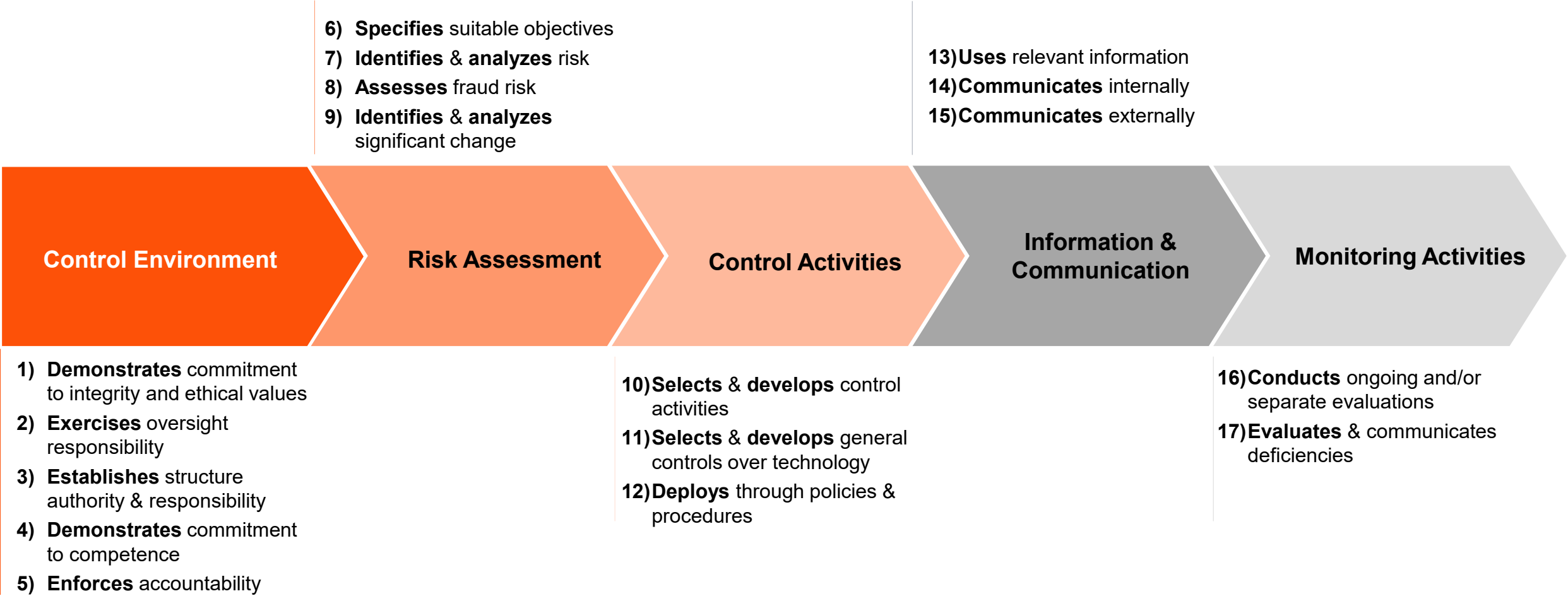
ISO 31000

- International Organization for Standardization (ISO) 31000 is an international standard that provides **principles** and **guidelines** for risk management.
- It outlines a comprehensive approach to **identify, analyze, evaluate, monitor** and **communicate** risks across an organization.

***COSO** provides a structured model for internal controls, **SOX** strengthens corporate accountability for listed companies, and **ISO 31000** offers principles for enterprise-wide risk management.*

COSO Framework

*The COSO Internal Control Framework is a globally trusted & widely used standard for designing and assessing internal controls, built on **17 principles** across **5 components** and adapted to local laws and governance frameworks worldwide*



Sarbanes-Oxley Act (SOX)

Coverage of the Act

SOX applies to all publicly listed companies in the U.S. their management, auditors and boards of directors.

It **establishes** standards for:

- Corporate responsibility and ethics
- Financial reporting accuracy
- Internal control systems
- Audit independence
- Legal compliance and record retention
- Protection for whistleblowers and investors

Internal Controls and Financial Oversight

- **Requires** effective internal controls over financial reporting.
- Management must **certify** the accuracy of financial statements.
- Independent auditors **assess** control effectiveness.
- **Promotes** timely and transparent financial disclosures.

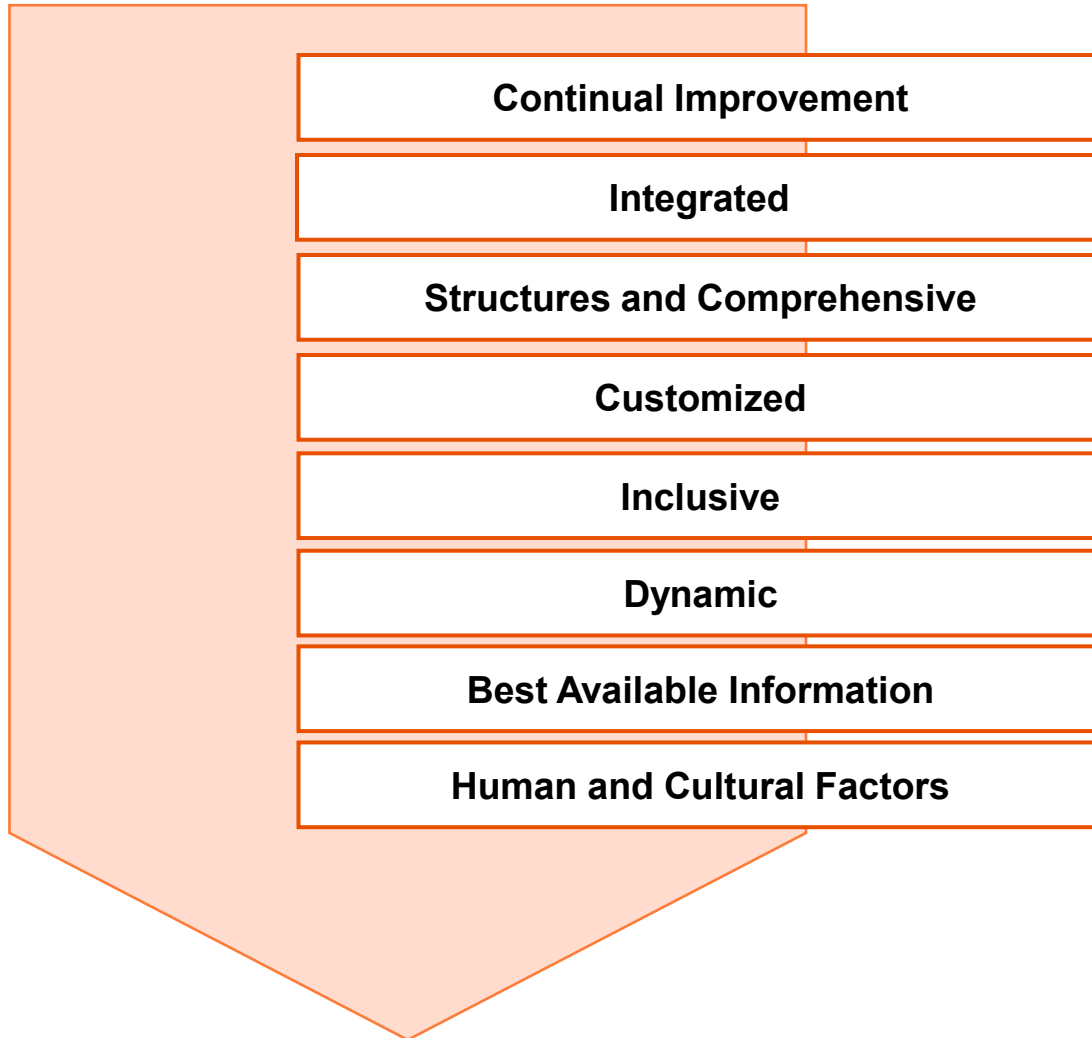
Regulatory and Risk Oversight

- **Strengthens** board and audit committee oversight.
- **Ensures** auditor independence and prevents conflicts of interest.
- **Protects** whistleblowers and **penalizes** fraud or obstruction.
- **Reinforces** executive accountability for governance and ethics.

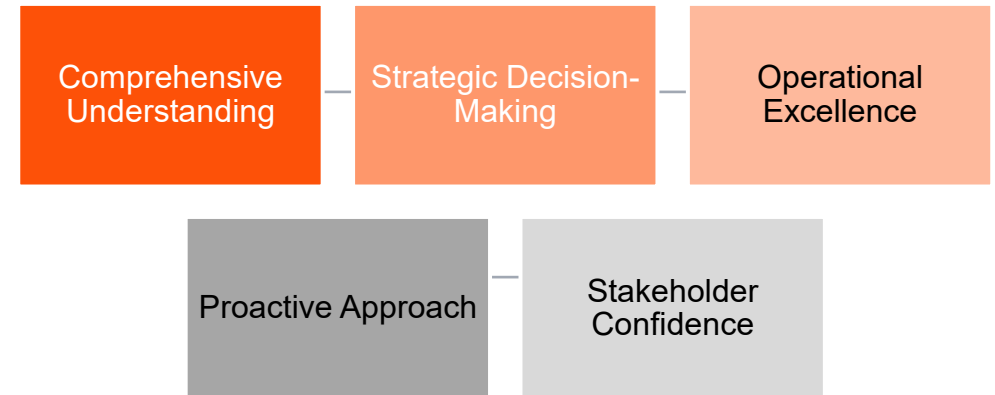
Essence of the Act

- SOX embeds a **culture of internal control, financial discipline and regulatory compliance** at every level of an organization — aligning governance practices with investor trust and ethical conduct.

Managing risk is based on the following principles of ISO 31000



ISO 31000 - Importance



Requirement of ISO 31000

ISO 31000 is valuable for any organization seeking to implement a comprehensive approach to risk management such as:

- Companies in heavily regulated industries like financial services, healthcare, energy
- Public and governmental organizations
- Consultancies who advise clients on risk management.

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Directors' Responsibility Statement

(Disclosure/Certification)

Directors’ Responsibility Statement | India and Global



Directors’ Responsibility Statement (India Perspective)

Under **the Companies Act, 2013 (India)**, the Directors’ Responsibility Statement is a mandatory declaration in the Directors’ Report confirming that the company’s financial statements, internal controls and compliance systems meet statutory, accounting and ethical governance requirements.

Global Parallels: How Other Jurisdictions Embed Similar Accountability

Jurisdiction	Concept	Legal Reference	Scope
United Kingdom	Directors’ Responsibility for the Annual Report & Financial Statements	Companies Act, 2006	- Fair, balanced & understandable report; - True & fair view.
European Union	Statement of Directors’ Responsibilities	EU Accounting Directive - 2013/34/EU	- Statement ensuring compliance; - Fair presentation.
Australia	Directors’ Declaration	Corporations Act 2001, Section 295(4)(c)	- Compliance with accounting standards; - True & fair view.
United States	CEO & CFO Certification of Financial Statements	Sarbanes–Oxley Act, 2002	- Accuracy of financials; - Internal controls & Fraud disclosure.
Canada	Combination of CEO & CFO Certification & Board’s approval on Financial Statements	National Instrument 52-109; Canada Business Corporations Act	- Fair presentation & disclosure accuracy; - Internal controls.

Note: While the U.S. and Canadian frameworks assign certification duties to executive management, the foundational concept of accountability—encompassing reliable financial reporting, sound internal controls, and strong governance oversight—aligns closely with the spirit of DRS.



Key Disclosures in the Directors' Report as per Companies Act, 2013

01

Accounting Standards Compliance

In preparing annual accounts, applicable accounting standards were followed with proper explanations for material departures.

02

True & Fair Judgement

Accounting policies have been applied consistently with prudent judgments for true and fair financial reporting.

03

Fraud Prevention

Adequate accounting records are maintained to safeguard assets and detect fraud or irregularities.

04

Going Concern Assurance

The annual accounts have been prepared on a going concern basis.

05

Internal Financial Controls

Effective controls have been established to ensure orderly operations, asset protection, and accurate reporting.

06

Legal Compliance Systems

Systems are in place to ensure adherence to all applicable laws and regulations.

Activity | What are the ‘must haves’ for a Director before signing the DRS?



Set of Policies / SoPs and document explaining any departures.

Board Minutes showing detailed review of financial statements.

Audit committee minutes evidencing their recommendations, approvals, findings and its management response.

Statutory auditor's report & management representation letter

Internal audit & ICFR testing reports showing results of control testing, remediation of weaknesses and timelines.

Bank confirmations / third-party confirmations for significant cash receivables and payables.

Inventory verification reports / physical verification results.

Exception logs, whistleblower reports and Board responses.

Compliance certificates (KMP / CFO / CEO certifications where applicable — e.g., SEBI LODR requirements for listed entities).

Legal opinions for complex or uncertain compliance questions.

Post-year-end events review and Board-level confirmation on going concern assessment.

Evidence trail sign-offs by CFO / finance head, internal audit sign-off and audit committee sign-off.

Real Estate Investment Management Company

- Secured **five awards** at the **Singapore Corporate Awards 2023**
- Won the **Gold Award for Best Annual Report (REIT/Business Trusts category)** for transparent, high-quality disclosures
- Recognized for strong **board oversight, risk-management practices** and robust **enterprise-risk frameworks**

Infrastructure Company

- Winner of the **Golden Peacock Award for Excellence in Corporate Governance 2025.**
- Demonstrates strong governance through a clear **ERM framework** and **Audit Committee review** of Related Party Transactions.
- Ensures timely disclosure of **financial and strategic information.**
- Information Security Steering Committee regularly reports on **cybersecurity risks, supporting informed board decisions.**

Case Study | Corporate Collapse

Background	What went wrong	Lesson
▪ The Company exploited mark-to-market accounting and special purpose entities (SPEs) to conceal billions of dollars in losses and debt from failed ventures. ▪ Disclosures of accounting fraud started surfacing, rapidly eroding investor trust. ▪ The credit rating agencies downgraded Company's rating to junk, leaving the company unable to raise capital or meet obligations. ▪ Following regulatory investigations, the Company filed for bankruptcy with billions of dollars in assets.	▪ Lack of Transparency: The Company used complicated financial structures to hide its true financial situation. ▪ Audit Committee Ineffectiveness: The audit committee lacked the technical skill and skepticism to question complex accounting practices and reliance on SPEs. ▪ Weak Board Oversight: The Board of directors approved risky accounting methods and conflict-ridden transactions, showing poor independence.	▪ Convictions: The five-year investigation led to jury convictions of top officials including former CEOs on charges of conspiracy, securities fraud, wire fraud, and making false statements. ▪ The Company's Audit firm's reputation collapsed leading to its dissolution. ▪ The collapse of the Company put thousands of employees out of work and cost investors billions in losses. ▪ The case revealed weak internal controls and corporate governance regulations, leading to reforms such as the U.S. Sarbanes–Oxley Act (2002).

1. Who suffered major financial losses due to the Company's collapse?

- A. Directors
- B. Regulators
- C. Investors
- D. Competitors

Correct Answer : C. Investors

2. What was one major cause of the Company's collapse?

- A. Weak Financial Oversight
- B. Weak Regulatory Oversight
- C. Weak Internal Controls
- D. All of the above

Correct Answer : D. All of the Above

3. Why did the Audit Committee fail?

- A. Lack of attention
- B. Skepticism to question complex accounting practices
- C. Reliance on SPEs
- D. All of the above

Correct Answer : D. All of the Above

What was a red flag ignored by the Board?

- A. Strong financial reporting
- B. Risky accounting practices
- C. Decreasing sales
- D. Low employee morale

Correct Answer : B. Risky Accounting Practices

Thank you

Data Classification: DC1 (Internal)

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